**to be paid this period**

$$G_t - T_t$$
$$+ i_{t-1} B_{t-1} + e_t \, i^f_{t-1} B^f_{t-1}$$

deficit plus interest

consolidated government:
Treasury + central bank

=

**borrow in own currency** $\Delta B_t$

someone must buy: the cost is the interest rate

Russia 1998: rouble bond yields above 200%

+

**borrow in foreign currency** $e_t \, \Delta B^f_t$

foreign currency must be earned or borrowed

Sri Lanka 2022: reserves for 1.2 months of imports

+

a peg: printing money sells reserves

**issue money** $\Delta H_t$

someone must hold it: the cost is inflation

Ming, Weimar, Zimbabwe: nobody would hold it